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* **IN THE HIGH COURT OF DELHI AT NEW DELHI**

% Reserved on: 12.01.2023

Pronounced on: 02.02.2023

\+ **CRL.M.C. 3004/2022 & CRL.M.A. 12790/2022**

HARSHVARDHAN LUTHRA ..... Petitioner

Through: Mr. Mohit Anand and Ms. Tanvi Soni, Advocates.

versus

STATE (GOVT. OF NCT OF DELHI) & ANR. ..... Respondents

Through: Mr. Suresh Dahiya, APP for the State with SI Rakesh Kumar, EOW.
Mr. Devendra Nath Kaushik, respondent No.2 in person.

CORAM:
HON'BLE MS. JUSTICE SUNANDA KHANDEKAR

JUDGMENT

1. This petition under Section 482 of the Code of Criminal Procedure, 1973 ("CrPC") seeks quashing of FIR No. 0178/2021 registered at P.S. Economic Offences Wing, Delhi, for offences under Sections 406, 420 and 120B of the Indian Penal Code, 1860 ("IPC"), along with consequential proceedings, on the strength of a settlement deed dated 03.09.2022.

2. The FIR was registered on the complaint of respondent No.2, who invested Rs.18,00,000/- in a collective savings scheme floated by M/s Navkaar Agri-Bonds Pvt. Ltd., of which the petitioner is a director. The investigation revealed that the scheme collected approximately Rs.41 crores from over one hundred and fifty investors across several States, a substantial part of which was diverted to group entities. A charge-sheet was filed on 12.03.2022.

3. After the charge-sheet, the petitioner and respondent No.2 entered into a settlement deed dated 03.09.2022, under which the petitioner paid Rs.18,00,000/- to respondent No.2, who has filed an affidavit stating that he has no objection to the quashing of the FIR.

4. Learned counsel for the petitioner submits that the dispute is essentially a private wrong, that the complainant has been fully compensated, and that continuation of

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the proceedings would be an exercise in futility.

5. Learned APP opposes the petition, pointing out that the petitioner is a principal accused in a scheme that defrauded over one hundred and fifty investors, that no other investor has been compensated, and that respondent No.2 is only one of several victims.

6. The question is whether the High Court can, in exercise of its inherent powers under Section 482 of the CrPC, quash a non-compoundable offence involving serious economic fraud solely on the strength of a post-FIR private settlement between the accused and one of the victims.

7. The inherent power is not exercised merely because the parties have settled; it is exercised to secure the ends of justice. Offences under Sections 406 and 420 IPC are non-compoundable save with the leave of the Court, and where they are committed on a scale that affects a large section of the public, the wrong is not merely to the individual but to society.

8. A private settlement with one investor cannot wipe out the offence as against the others, nor the public interest in the prosecution of a fraud of this magnitude. The State is the prosecuting authority, and the complainant is only the informant.

9. This Court holds that a post-FIR private settlement deed cannot, by itself, justify the quashing of non-compoundable offences involving serious financial fraud, and the High Court must decline to exercise its power under Section 482 of the Code of Criminal Procedure, 1973 where the fraud has affected a large body of victims and the public interest.

10. The petition is dismissed. The observations made herein are confined to the present petition and shall not prejudice the petitioner at trial. Pending applications stand disposed of.

SUNANDA KHANDEKAR, J

FEBRUARY 02, 2023/ak

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